

MINDTECK SINGAPORE PTE LTD

Co. Reg. No: 199904845D

**AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED
31 MARCH 2015**

**KADER & CO.
PUBLIC ACCOUNTANTS AND
CHARTERED ACCOUNTANTS
SINGAPORE**

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CORPORATE DATA

Company Registration Number : 199904845D

Board of Director : Jacob Pillay

Secretary : Ahamed Mohideen Seyed Ali Rashid

**Registered Office : 7B Keppel Road
#05-09
Tanjong Pagar Complex
Singapore 089055**

**Holding Company : Mindteck (India) Limited
Prestige Atlanta
No. 10 Industrial Layout 7th Main
80 Feet Road 3rd Block
Koramangala, Bengaluru, India 560034**

**Auditor : KADER & CO.
Public Accountants and
Chartered Accountants of Singapore
100 Jalan Sultan #09-07
Sultan Plaza
Singapore 199001**

MINDTECK SINGAPORE PTE LTD

DIRECTOR'S REPORT FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015

The Director presents this report to the member together with the audited financial statements of the Company for the financial year ended 31 March 2015.

Statement by Director and the financial statements attached are deemed to be part of this report under Section 201 of the Singapore Companies Act, Cap. 50.

DIRECTOR

The Director holding office at the date of this report is:

Jacob Pillay

ARRANGEMENTS TO ENABLE DIRECTOR TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose object was to enable the Director of the Company to acquire benefits by means of the acquisitions of shares in, or debentures of, the Company or any other body corporate.

DIRECTOR'S INTERESTS IN SHARES AND DEBENTURES

The Director holding office at the end of the financial year had no interests in the share capital and debentures of the Company as recorded in the register of Director's shareholdings kept by the Company under Section 164 of the Singapore Companies Act, Cap. 50 except as follows:

<u>Name of director</u>	<u>At beginning of year</u>	<u>At end of year</u>
	<u>Number of Ordinary Shares</u>	
-	-	-

DIRECTOR'S CONTRACTUAL BENEFITS

Except as disclosed in the financial statements, since the end of the previous financial year, no director has received or become entitled to receive a benefit which is required to be disclosed under Section 201(8) of the Singapore Companies Act, by reason of a contract made by the Company or a related corporation with the director or with a firm in which he is a member, or with a Company in which he has a substantial financial interest.

MINDTECK SINGAPORE PTE LTD

DIRECTOR'S REPORT FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015

SHARE OPTIONS

There were no share options granted by the Company during the financial year.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares under option at the end of the financial year.

INDEPENDENT AUDITOR

The independent auditor, Kader & Co., (Public Accountants and Chartered Accountants of Singapore), has expressed its willingness to accept re-appointment.


Jacob Pillay
Director

Singapore

Date: 30 September 2015

MINDTECK SINGAPORE PTE LTD

**STATEMENT BY DIRECTOR
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

In my opinion,

- a) the accompanying financial statements with the notes thereto are drawn up so as to give a true and fair view of the state of affairs of the Company as at 31 March 2015, and of the results of the business, changes in equity and cash flows of the Company set out from Page 7 to Page 23 for the year ended on that date; and
- b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

The Board of Director, has on the date of this statement, authorised these financial statements for issue.



Jacob Pillay
Director

Singapore

Date: 30 September 2015

**KADER & CO.**PUBLIC ACCOUNTANTS
CHARTERED ACCOUNTANTS OF SINGAPORE100 Jalan Sultan #09-07
Sultan Plaza
Singapore 199001
Tel : (65) 6398 1020
Fax : (65) 6398 1030
Email : contact@kader.com.sg**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD (Company Registration No. 199904845D)****Report on the Financial Statements**

We have audited the accompanying financial statements of **MINDTECK SINGAPORE PTE LTD** (the "Company"), which comprise the statement of financial position as at 31 March 2015, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Singapore Companies Act, Chapter 50 (the "Act") and Singapore Financial Reporting Standards, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements position and to maintain accountability of assets.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements are properly drawn up in accordance with the provisions of the Act and Singapore Financial Reporting Standards so as to give a true and fair view of the financial position of the Company as at 31 March 2015 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Other Matters

The financial statements of the Company for the year ended 31 March 2014, were audited by another auditor who expressed an unmodified opinion on those financial statements in their report dated 30 September 2014.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

KADER & CO.
Public Accountants and
Chartered Accountants
Singapore

Date: 30 September 2015

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MINDTECK SINGAPORE PTE LTD
STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2015

ASSETS	Note	2015 \$	2014 \$
Non-current assets			
Goodwill	4	534,583	534,583
Plant and equipment	5	3,422	4,365
Total non-current assets		538,005	538,948
Current assets			
Trade receivables	7	856,003	832,839
Other receivables	6	52,337	42,019
Due from related parties	11	322,002	273,314
Cash and cash equivalents	8	316,446	56,334
Total current assets		1,546,788	1,204,506
TOTAL ASSETS		2,084,793	1,743,454
EQUITY AND LIABILITIES			
Equity			
Share capital	12	1,310,500	1,310,500
Capital reserve		1,997	1,997
Accumulated (losses)		(100,153)	(407,516)
Total equity		1,212,344	904,981
Current liabilities			
Trade payable	9	-	17,575
Other payables	10	358,332	530,604
Due to holding company	11	514,117	95,677
Due to related parties	11	-	194,617
Total current liabilities		872,449	838,473
TOTAL EQUITY AND LIABILITIES		2,084,793	1,743,454

MINDTECK SINGAPORE PTE LTD

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

	Note	<u>2015</u> \$	<u>2014</u> \$
Revenue	15	3,498,414	4,040,235
Cost of services	16	(2,725,654)	(3,112,815)
Gross profit		<u>772,760</u>	<u>927,420</u>
Other operating income	17	5,792	42,045
Administrative expenses		(467,298)	(902,506)
Other operating expense	19	(3,891)	(4,262)
Finance cost		-	(19,225)
Profit before income tax		<u>307,363</u>	<u>43,472</u>
Income tax expense	13	-	-
Prior year adjustment		-	(2,584)
Profit after income tax		<u>307,363</u>	<u>40,888</u>
Other comprehensive income		-	-
Total comprehensive income		<u>307,363</u>	<u>40,888</u>

MINDTECK SINGAPORE PTE LTD**STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

	Share Capital \$	Capital Reserve	(Accumulated losses) \$	Total \$
Balance as at 1 April 2014	1,310,500	1,997	(407,516)	904,981
Total comprehensive income for the year	-	-	307,363	307,363
Balance as at 31 March 2015	<u>1,310,500</u>	<u>1,997</u>	<u>(100,153)</u>	<u>1,212,344</u>
 Balance as at 1 April 2013	 1,310,500	 1,997	 (448,404)	 864,093
Total comprehensive income for the year	-	-	40,888	40,888
Balance as at 31 March 2014	<u>1,310,500</u>	<u>1,997</u>	<u>(407,516)</u>	<u>904,981</u>

MINDTECK SINGAPORE PTE LTD**STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

	<u>2015</u>	<u>2014</u>
	\$	\$
Cash flows from operating activities		
Profit before income tax	307,363	40,888
Adjustments for:		
Depreciation	3,891	4,262
Finance interest	-	19,225
Operating cash flows before working capital changes	311,254	64,375
Changes in working capital:		
Trade receivables	(23,164)	(60,516)
Other receivables	(10,318)	(2,560)
Due from related parties	(48,688)	(127,030)
Trade payable	(17,575)	(60,082)
Other payables	(172,272)	85,108
Due to holding company	418,440	73,901
Due to related parties	(194,617)	106,884
Cash generated from/(used in) operations	263,060	(5,028)
Income tax paid	-	-
Net cash generated from/(used in) operating activities	263,060	(5,028)
Cash flows from investing activities		
Purchase of plant and equipment	(3,138)	(1,438)
Proceeds from disposal of assets	190	-
Cash (used in) investing activities	(2,948)	(1,438)
Cash flows from financing activities		
Finance interest	-	(19,225)
Cash (used in) financing activities	-	(19,225)
Net increase/(decrease) in cash and cash equivalents	260,112	(25,691)
Cash and cash equivalents at beginning of the year	56,334	82,025
Cash and cash equivalents at end of the year	316,446	56,334
Cash and cash equivalents comprising of:		
Cash in hand	2,598	1,458
Cash at bank	313,848	54,876
	316,446	56,334

The accompanying notes form an integral part of these financial statements.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. General corporate information

The Company (Registration No. 199904845D) is a limited liability Company incorporated and domiciled in Singapore. The registered office and principal place of business is located at 7B Keppel Road #05-09, Tanjong Pagar Complex, Singapore 089055.

The principal activities of the Company are those of the software development and consultancy services and the provision of contract information technology professionals. There have been no significant changes in the nature of these activities during the financial year.

2. Significant accounting policies

(a) Basis of preparation

The financial statements have been prepared in accordance with the provisions of the Singapore Companies Act, Chapter 50 and Singapore Financial Reporting Standards ("FRS") including related Interpretations of FRS and are prepared under the historical cost convention, except as disclosed in the accounting policies below.

The preparation of financial statements in conformity with FRS requires the management to exercise judgement in the process of applying the Company's accounting policies and requires the use of accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the end of the financial year, and the reported amounts of revenue and expenses during the financial year. Although these estimates are based on the management's best knowledge of current events and actions, actual results may differ from these estimates.

The accounting policies have been consistently applied by the Company.

(b) New or revised FRS adopted

At beginning of the financial year, the Company adopted the new or revised FRS that is mandatory for application from that date. Changes to the Company's accounting policies have been made as required, in accordance with the transitional provisions in the respective FRS.

(c) Plant & equipment and depreciation

All items of plant and equipment are initially recorded at cost. Subsequent to initial recognition, plant and equipment are stated at cost less accumulated depreciation and impairment in value, if any.

The cost of plant and equipment includes expenditure that is directly attributable to the acquisition of the items. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

Subsequent expenditure relating to the plant and equipment that has already been recognized is added to the carrying amount of the asset when it is probable that the future economic benefits, in excess of the standard of performance of the asset before the expenditure was made, will flow to the Company, and the cost can be reliably measured. Other subsequent expenditure is recognized as an expense during the financial year in which it is incurred.

On disposal of an item of plant and equipment, the difference between the net disposal proceeds and its carrying amount is taken to profit or loss.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

2. Significant accounting policies (continued)

(c) Plant & equipment and depreciation (continued)

Depreciation is calculated on the straight-line method so as to write off the cost of the plant and equipment over their estimated useful lives as follows:

Furniture & fittings	-	5	years
Office equipment	-	5	years
Computers	-	3	years

Depreciation methods, useful lives and residual values are reviewed, and adjusted as appropriate, at the end of each reporting period. Fully depreciated assets are retained in the accounts until they are no longer in use.

(d) Cash and cash equivalents

Cash and cash equivalents comprise of cash in hand and bank balances which are readily convertible to known amount of cash and are subject to an insignificant risk of changes in value.

(e) Financial instruments

Financial instruments comprise financial assets and liabilities and they are recognised on the Company's statement of financial position when the Company becomes a party to the contractual provisions of the instrument.

Financial assets

Financial assets include cash financial instruments, if any, can be divided into the following categories: financial assets at fair value through profit or loss, held-to maturity investments, loan and receivables and available-for sale financial assets. Financial assets are assigned to the different categories by management on initial recognition, depending on the purpose for which the investments were acquired. The designation of financial assets is re-evaluated and classification may be changed at the reporting date with the exception that the designation of the financial assets at fair value through profit or loss is not revocable.

All financial assets are recognised on their trade date – the date on which the Company commit to purchase or sell the asset. All financial assets that are not classified as fair value through profit or loss are initially recognised at fair value, plus transaction costs.

Derecognition of financial instruments occurs when the rights to receive cash flows from the investments expire or are transferred and substantially all of the risks and rewards of ownership have been transferred. As assessment for impairment is undertaken at least at each Statement of Financial Position date whether or not there is objective evidence that a financial asset or a group of financial assets is impaired.

Non-compounding interest and other cash flow resulting from holding financial assets are recognised in profit or loss when received, regardless of how the related carrying amount of the financial assets is measured.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in active market. They arise when the Company provides money, goods or services directly to a debtor with no intention of trading the receivables. They are included in current assets, except for those with maturities greater than 12 months after the Statement of Financial Position date, which are then classified as non-current assets.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

2. Significant accounting policies (continued)

(e) Financial instruments (continued)

Loans and receivables (continued)

Loans and receivables are subsequently measured at amortized cost using the effective interest method, less provision for impairment. Any change in their value is recognised in Statement of Comprehensive Income. Any reversal shall not result in a carrying amount that exceeds what the amortized cost would have been had any impairment loss not been recognised at the date of impairment is reversed. Any reversal is recognised in the Statement of Comprehensive Income.

Receivables are provided against when there is objective evidence that the Company will not be able to collect all amounts due to it in accordance with the original terms of the receivables. The amount of provision for impairment is determined as the difference between the asset's carrying amount and the present value of estimated future cash flows.

Loans and receivables include trade and non-trade balances with third parties.

Financial liabilities

The Company's financial liabilities include trade and other payables.

Financial liabilities are recognised when the Company becomes a party to the contractual agreements of the instrument. All interest related charges is recognised as an expense in "finance costs" in the Statement of Comprehensive Income.

Borrowings are recognised initially at fair value of proceeds received less attributable transaction costs, if any. Borrowings are subsequently stated at amortized cost which is the initial fair value less any principal repayments. Any difference between the proceeds (net of transaction costs) and the redemption value is taken to profit and loss over the period of borrowings using effective interest method.

Borrowings which are due to be settled within twelve months after the Statement of Financial Position date are in current borrowings in the Statement of Financial Position even though the original terms were for a period longer than twelve months and an agreement to refinance, or to reschedule repayments, on a long-term basis is completed after the Statement of Financial Position date. Borrowings to be settled within the Company's normal operating cycle are considered as current. Other borrowings due to be settled more than twelve months after the Statement of Financial Position date are included in the non-current borrowings in the Statement of Financial Position.

Equity instruments issued by the Company, if any, are recorded at the proceeds received, net of direct issue costs. Trade and other payables are initially measured at fair value, and subsequently measured at amortized cost, using the effective interest method.

(f) Impairment of assets

The carrying amounts of Company's assets are reviewed at each Statement of Financial Position date to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or cash-generating unit exceeds its recoverable amount. All impairment losses are recognised in the statement of comprehensive income. Recoverable amount is defined as the higher of value in use and net selling price.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

2. Significant accounting policies (continued)

(f) Impairment of assets (continued)

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount or when there is an indication that the impairment loss recognised for the assets' carrying amount does not exceed the carrying amount that would have been determined if no impairment loss had been recognised.

(g) Provisions

Provisions are recognised when the Company has a present legal or constructive obligation as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. Provisions are not recognised for future operating losses.

Changes in the estimated timing or amount of the expenditure or discount rate are recognised in profit or loss when the changes arise.

(h) Borrowing costs

Borrowing costs are recognised in profit or loss using the effective interest method except for those costs that are directly attributable to the acquisition, construction or production of a qualifying asset. Those costs are capitalised in the cost of that asset. The borrowing costs cease to be capitalised when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete.

(i) Income tax

The tax is determined on the basis of tax effect accounting using the liability method and is applied to all significant timing differences. Deferred tax benefits are not recognised unless there is reasonable expectation of their realisation.

(j) Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects. Share capital is recognised at the fair value of the consideration received by the Company.

(k) Revenue recognition

Revenue from services rendered is recognised when the amount of revenue and costs incurred can be measured reliably and collectability of the consideration is probable by reference to the stage of completion of the transaction at the reporting date.

(l) Employee benefits

Defined contribution plan

The Company contributes to Central Provident Fund ("CPF"), a defined contribution plan regulated and managed by the Government of Singapore. The Company's contributions to CPF are charged to the Statement of Comprehensive Income in the period to which the contributions relate.

Employee leave entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. Accrual is made for unconsumed leave as a result of services rendered by employees up to the Statement of Financial Position date.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

2. Significant accounting policies (continued)

(m) Functional currency and foreign currency transactions

The financial statements of the Company are measured and presented in the currency of the primary economic environment in which the entity operates ("functional currency").

The financial statements of the Company are presented in Singapore dollars, which is the functional currency of the Company.

In preparing the financial statements, transactions in currencies other than the entity's functional currency are recorded at the rate of exchange prevailing on the date of the transaction. At the end of each financial year, monetary items denominated in foreign currencies are retranslated at the rates prevailing as of the end of the financial year. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences arising on the settlement of monetary items and on retranslation of monetary items are included in profit or loss for the financial year. Exchange differences arising on the retranslation of non-monetary items carried at fair value are included in profit or loss for the financial year except for differences arising on the retranslation of non-monetary items in respect of which gains and losses are recognised directly in equity. For such non-monetary items, any exchange component of that gain or loss is also recognised directly in equity.

(n) Operating leases

Leases of assets where substantially all risks and rewards incidental to ownership are retained by the lessors are classified as operating leases. Payments made under operating leases are recognised in profit or loss on a straight-line basis over the period of the lease.

Contingent rents are recognised as an expense in profit or loss when incurred.

(o) Related parties

For the purposes of these financial statements, parties are considered to be related to the Company if the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Company and the party are subject to common control or significant influence. Related parties may be individuals or other entities.

(p) Contingencies

A contingent liability or asset is a possible obligation or asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future event(s) not wholly within the control of the Company.

Contingent liabilities and assets are not recognised in the financial statements of the Company.

3. Critical accounting estimates, assumptions and judgements

The preparation of financial statements in conformity with FRS requires management to exercise its judgement in the process of applying the Company's accounting policies. It also requires the use of certain critical accounting estimates and assumptions. Estimates, assumptions and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The management is of the opinion that there are no critical accounting estimates, assumptions and judgements of accounting policies that have a significant effect on the amounts recognised in the financial statements.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**
4. Goodwill on acquisition of business

Goodwill represents the excess of the fair value of the consideration paid over the fair value of the identifiable net assets of the business when acquired. Goodwill is stated at cost. As the recoverable amount is more than its carrying value, no impairment of the goodwill is recognised.

5. Plant and equipment

	Furniture & fittings	Office Equipment	Computers	Total
	\$	\$	\$	\$
2015				
Cost				
Balance at 1 April 2014	6,280	9,887	166,471	182,638
Additions	-	547	2,591	3,138
Disposals	-	-	(190)	(190)
Balance at 31 March 2015	6,280	10,434	168,872	185,586
Accumulated depreciation				
Balance at 1 April 2014	6,039	8,781	163,453	178,273
Depreciation for the year	73	514	3,304	3,891
Balance at 31 March 2015	6,112	9,295	166,757	182,164
Net book value at 31 March 2015	168	1,139	2,115	3,422
2014	\$	\$	\$	\$
Cost				
Balance at 1 April 2013	6,280	9,887	165,033	181,200
Additions	-	-	1,438	1,438
Balance at 31 March 2014	6,280	9,887	166,471	182,638
Accumulated depreciation				
Balance at 1 April 2013	5,966	8,323	159,722	174,011
Depreciation for the year	73	458	3,731	4,262
Balance at 31 March 2014	6,039	8,781	163,453	178,273
Net book value at 31 March 2014	241	1,106	3,018	4,365

6. Other receivables

	2015	2014
	\$	\$
Deposits	10,925	10,365
Advances	23,126	966
Prepayments	18,286	30,688
	<u>52,337</u>	<u>42,019</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

7. Trade receivables

	<u>2015</u>	<u>2014</u>
	\$	\$
Trade receivables - Third parties	856,003	832,839

Concentration of credit risk relating to trade receivables is limited due to the Company's limited customers. The ageing of receivables at the reporting date is:

	\$	\$
Past due 0-30 days	687,676	348,329
Past due 31-60 days	126,971	270,068
Past due 61-90 days	10,165	177,060
Past due above 90 days	31,191	37,382
	<u>856,003</u>	<u>832,839</u>

Trade receivables are non-interest bearing and are recognised at their original invoice amounts which represent their fair values at initial recognition and are normally settled between 0 to 30 days' terms. The Company has not made any allowance on all these receivables as the Director are of the view that all the receivables are subsequently recovered.

8. Cash and cash equivalents

	<u>2015</u>	<u>2014</u>
	\$	\$
Cash in hand	2,598	1,458
Cash at bank	313,848	54,876
	<u>316,446</u>	<u>56,334</u>

9. Trade payable

	<u>2015</u>	<u>2014</u>
	\$	\$
Trade payable	-	17,575

Trade payable is non-interest bearing and is recognised at their original invoice amounts which represent their fair values at initial recognition.

10. Other payables

	<u>2015</u>	<u>2014</u>
	\$	\$
GST payable	53,794	108,484
Advance from customer	8,346	13,743
Accrued operating expenses	296,192	408,377
	<u>358,332</u>	<u>530,604</u>

NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015

11. Related party transactions

In addition to the related party information disclosed elsewhere in the financial statements, significant transactions between the Company and its related parties on terms agreed with the parties during the financial year were as follows:

	<u>2015</u>	<u>2014</u>
	\$	\$
Balances due from related parties		
Mindteck (India) Limited	-	2,990
Mindteck Software Malaysia Sdn Bhd (non-trade)	255,941	113,090
Mindteck (UK) Limited (trade)	11,205	29,101
Mindteck USA Inc (trade)	54,856	128,133
	<u>322,002</u>	<u>273,314</u>
Balances due to holding company/related parties		
Mindteck (India) Limited (trade)	314,117	95,677
Mindteck (India) Limited (non-trade)	200,000	-
Mindteck Software Malaysia Sdn Bhd	-	38,303
Mindteck Inc	-	5,651
Mindteck (UK) Limited – Non trade	-	94,463
Mindteck Inc – Non trade	-	56,200
	<u>514,117</u>	<u>290,294</u>

All business transactions between the Company and other Companies in which the director have an interest were carried out at arm's length and charged on the same basis chargeable to other non-related Companies.

The amount due from / to related parties are unsecured, interest free and is repayable on demand.

12. Share capital

	<u>2015</u>	<u>2014</u>
	\$	\$
Issued and fully paid		
Beginning of the year – 1,310,500 Ordinary shares	1,310,500	1,310,500
Shares issued during the year	-	-
End of the year – 1,310,500 Ordinary shares	<u>1,310,500</u>	<u>1,310,500</u>

The ordinary shares have no par value. The holders of ordinary shares are entitled to receive dividends as declared from time to time and entitled to one vote per share at meeting of the Company. All shares rank equally with regards to Company's residual assets.

13. Income tax

As at 31 March 2015, the Company has unutilised losses \$534,203 (2014: \$848,061) and unutilised capital allowance \$21,095 (2014: \$17,957) available for offsetting against future taxable income, subject to agreement with the tax authorities and there being no substantial change in the shareholder of the Company as required by the relevant provisions of the income Tax Act.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

14. Profit before income tax

	<u>2015</u>	<u>2014</u>
	\$	\$
The above is arrived at after charging:		
Audit fee	7,200	7,200
Depreciation	3,891	4,262
Director's remuneration & CPF	167,794	154,840
Exchange loss	10,054	4,483
Finance interest	-	19,225
	<u> </u>	<u> </u>
and after crediting:		
PIC bonus payout	-	15,000
PIC cash payout	-	23,274
Profit on sale of assets	190	-
Wage Credit Scheme payout	5,602	3,771
	<u> </u>	<u> </u>

15. Revenue

	<u>2015</u>	<u>2014</u>
	\$	\$
Income from services	<u>3,498,414</u>	<u>4,040,235</u>

Revenue during the financial year mainly comprises of income from information technology consultancy services.

16. Cost of services

	<u>2015</u>	<u>2014</u>
	\$	\$
Consultancy charges	492,012	62,068
Consultants' salary & CPF	2,171,501	2,997,498
Recruitment expenses	9,498	1,841
Consultants' travel, telephone and other expenses	35,933	51,126
Project supplies	16,710	282
	<u>2,725,654</u>	<u>3,112,815</u>

17. Other operating income

	<u>2015</u>	<u>2014</u>
	\$	\$
PIC bonus payout	-	15,000
PIC cash payout	-	23,274
Profit on sale of assets	190	-
Wage Credit Scheme payout	5,602	3,771
	<u>5,792</u>	<u>42,045</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

18. Staff costs

	<u>2015</u>	<u>2014</u>
	\$	\$
Salaries and Bonuses	107,289	521,863
Employer's CPF and related expenses	31,384	46,899
	<u>138,673</u>	<u>568,762</u>

In addition to above staff costs, payment includes key management personnel compensation are as below:

	<u>2015</u>	<u>2014</u>
	\$	\$
Director's remuneration	157,742	146,201
Employer's CPF on Directors' remuneration	10,052	8,639
	<u>167,794</u>	<u>154,840</u>

19. Other operating expense

	<u>2015</u>	<u>2014</u>
	\$	\$
Depreciation	<u>3,891</u>	<u>4,262</u>

20. Financial instruments

(a) Financial risk management

The Company does not have any written financial risk management policies and guidelines. The Company does not hold or issue derivative financial instruments for trading purposes or to hedge against fluctuations, if any, in interest rates and foreign exchange. The Company's exposure to financial risks associated with financial instruments held in the ordinary course of business includes:

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Company operates and sells its services in several countries other than Singapore and translated in foreign currencies. As a result, the Company is exposed to movements in foreign currencies exchange rates.

The Company incurs foreign currency risk on transactions and balances that are denominated in a currency other than Singapore dollars.

The Company's exposure to foreign currencies as at balance sheet date is as follows:

	<u>USD</u>	<u>Total</u>
	S\$	S\$
At 31 March 2015		
Financial assets		
Due from related parties	66,061	66,061
Financial liabilities		
Due to holding company	9,070	9,070
Net assets	56,991	56,991
Net currency exposure of financial assets	<u>56,991</u>	<u>56,991</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

20. Financial instruments (continued)

(a) Financial risk management (continued)

Sensitivity analysis for foreign currency risk

If the foreign currencies change against the SGD by 5% with all other variables including tax rate being held constant, the effects arising from the net financial (liability) / asset position will be as follows:

	Net assets/ (liabilities)	Sensitivity rate	Profit after tax	Other comprehensive income
	\$		\$	\$
At 31 March 2015				
USD against SGD	56,991	5%	2,324	-

A 5% strengthening of Singapore dollar against United States Dollar at the reporting date would decrease profit by S\$2,324/-.

A 5% weakening of Singapore dollar against foreign currencies would have had the equal but opposite effect. This analysis assumes that all other variables, in particular interest rates, remain constant.

Interest rate risk

Interest rate risk is the risk that the value of a financial instrument will fluctuate due to changes in market interest rates.

The Company has no interest bearing financial instruments, hence, is not exposed to any movements in market interest rates. The Company's exposure to market risk for changes in interest rates relates primarily to interest-bearing bank overdraft.

Market risk

Market risk is the risk that the value of a financial instrument will fluctuate due to changes in market prices whether those changes are caused by factors specific to the individual security or its issuer or factors affecting all securities traded in the market.

The Company does not hold any quoted or marketable financial instrument, hence, is not exposed to any movements in market prices.

Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss.

The Company has no significant concentrations of credit risk. The maximum exposure to credit risk is represented by the carrying amount of each financial asset on the balance sheet.

The Company's exposure to credit risk arises primarily from trade receivables amounting \$856,003 paid to suppliers which are subsequently offset against purchases after the balance sheet date.

Cash and cash equivalents are placed with or entered into with reputable financial institutions and has no history of default.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

20. Financial instruments (continued)

(a) Financial risk management (continued)

Liquidity risk

Liquidity or funding risk is the risk that an enterprise will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from an inability to sell a financial asset quickly at close to its fair value. The Company ensures that there are adequate funds to meet all its obligations in a timely and cost-effective manner.

The Company maintains sufficient level of cash and cash equivalents to meet its working capital requirements.

The table below shows the liquidity analysis of the Company's financial liabilities:

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
	\$	\$	\$	\$
At 31 March 2015				
Other payables	358,332	-	-	-
Due to holding company	514,117			
	<u>872,449</u>	<u>-</u>	<u>-</u>	<u>-</u>
At 31 March 2014				
Trade payables	17,575	-	-	-
Other payables	530,604	-	-	-
Due to holding company	95,677	-	-	-
Due to related parties	194,617			
	<u>838,473</u>	<u>-</u>	<u>-</u>	<u>-</u>

(a) Financial risk management (continued)

Cash flow risk

Cash flow risk is the risk that future cash flows associated with a monetary financial instrument will fluctuate in amount. The Company is not exposed to any cash flows risk as it does not have any monetary financial instruments with variable interest rates.

(b) Fair values

The Director are of the view that the fair values of the financial assets and liabilities as at the statement of financial position date approximate their carrying amounts as disclosed in the statement of financial position and in the notes to the financial statements.

21. Capital management

The Company actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Company and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected investment opportunities.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

21. Capital management (continued)

There were no changes in the Company's approach to capital management during the year. The Company is not subject to externally imposed capital requirements.

The gearing ratio is calculated as net debt divided by total capital. Net debt is calculated as borrowings plus trade and other payables less cash and cash equivalents. Total capital is calculated as total equity plus net debt.

The gearing ratio calculation is as follows:

	2015 \$	2014 \$
Net debt	556,003	782,139
Total equity	1,212,344	904,981
Total capital	<u>1,768,347</u>	<u>1,687,120</u>
Gearing ratio	<u>31%</u>	<u>46%</u>

22. Authorisation of financial statements

These financial statements of the Company for the year ended 31 March 2015 were authorised for issue in accordance with a resolution of the Director on the date of the Statement by Director.

MINDTECK SINGAPORE PTE LTD**DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

	<u>2015</u> <u>\$</u>	<u>2014</u> <u>\$</u>
Revenue	3,498,414	4,040,235
Less: Cost of services	(2,725,654)	(3,112,815)
Gross profit	<u>772,760</u>	<u>927,420</u>
Other operating income		
PIC bonus payout	-	15,000
PIC cash payout	-	23,274
Profit on sale of assets	190	-
Wage Credit Scheme payout	5,602	3,771
	<u>778,552</u>	<u>969,465</u>
Administrative expenses	<u>467,298</u>	<u>902,506</u>
Other operating expense		
Depreciation	<u>3,891</u>	<u>4,262</u>
Finance cost		
Finance interest	<u>-</u>	<u>19,225</u>
Sub total	471,189	925,993
Net profit	<u>307,363</u>	<u>43,472</u>

MINDTECK SINGAPORE PTE LTD**DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2015**

	<u>2015</u>	<u>2014</u>
	\$	\$
Administrative expenses		
Audit fee	7,200	7,200
Bank charges	4,593	3,178
Commission	7,236	5,844
Director's remuneration & CPF	167,794	154,840
Entertainment & refreshment	774	1,595
Exchange loss	10,054	4,483
Fines & penalties	2,604	6,728
Insurance	386	300
Miscellaneous expenses	66	245
Postage & courier	1,536	1,321
Printing & stationery	3,963	3,788
Professional fees	6,486	6,225
Rates and taxes	3,269	387
Recruitment expenses	19,915	20,654
Rental	38,296	38,296
Repairs & maintenance	9,490	9,665
Salary & related expenses	138,673	568,762
Staff welfare	5,535	10,009
Subscription fees	4,833	4,745
Telephone expenses	14,681	33,826
Travelling & transport expenses	17,475	17,693
Utilities	2,439	2,722
	<u>467,298</u>	<u>902,506</u>